

In the Supreme Court of the United States

OCTOBER TERM, 1994

Supreme Court, U.S.
FILED
JUN 19 1995

CLERK

HERCULES INCORPORATED

and

WM. T. THOMPSON COMPANY,
v. *Petitioners,*

UNITED STATES OF AMERICA,
Respondent.

On Writ of Certiorari to the
United States Court of Appeals
for the Federal Circuit

JOINT APPENDIX

JEROLD OSHINSKY *
GREGORY W. HOMER
RHONDA D. ORIN
ANDERSON KILL OLICK
& OSHINSKY
2000 Pennsylvania Avenue, N.W.
Suite 7500
Washington, D.C. 20006
(202) 728-3100
WALTER S. ROWLAND
HERCULES INC.
Hercules Plaza
Wilmington, Delaware 19894
(302) 594-5000

JAMES S. TURNER
ALAN DUMOFF
SWANKIN & TURNER
1424 16th Street, N.W., Suite 10
Washington, D.C. 20036
(202) 462-8800

CARTER G. PHILLIPS *
SIDLEY & AUSTIN
1722 I Street, N.W., Suite 900
Washington, D.C. 20006-3795
(202) 736-8000

Counsel for Petitioners

DREW S. DAYS III *
Solicitor General
FRANK W. HUNGER
Assistant Attorney General
DAVID J. FISHBACK
ALFRED R. MOLLIN
MICHAEL T. MCCAUL
Department of Justice
Washington, D.C. 20580
(202) 514-2217
Counsel for Respondent

** Counsel of Record*

TABLE OF CONTENTS

	Page
Relevant docket entries in <i>Thompson v. United States</i> ..	1
Relevant docket entries in <i>Hercules v. United States</i>	3
Complaint in <i>Hercules v. United States</i> (June 6, 1990) ..	5
Amended Complaint in <i>Thompson v. United States</i> (October 17, 1990)	21
Order Staying Discovery in <i>Hercules v. United States</i> (June 14, 1991)	33
Brief of the United States of America, dated August 31, 1984, Opposing Motion for Summary Judgment, filed by Hercules, et al. in <i>In Re Agent Orange Product</i> <i>Liability Litigation</i> , MDL #381, (U.S. District Court, E.D. of New York)	34
Contract of Thompson Chemical Corp. (May 2, 1967) ..Lodged	
Contract of Hercules, Inc. (March 1, 1968)	Lodged
Transcripts of Discovery-Related Proceedings in <i>In Re</i> <i>Agent Orange Product Liability Litigation</i>	Lodged

Note:

The following documents do not appear in this Joint Appendix but were reproduced in the Appendix to the Petition for Writ of Certiorari:

Appendix A:

Federal Circuit decision on consolidated appeals of <i>Hercules v. United States</i> and <i>Thompson v.</i> <i>United States</i> (5/4/94)	1a-46a
---	--------

Appendix B:

U.S. Claims Court Opinion in <i>Hercules v. United</i> <i>States</i> (4/2/92)	47a-80a
--	---------

Appendix C:

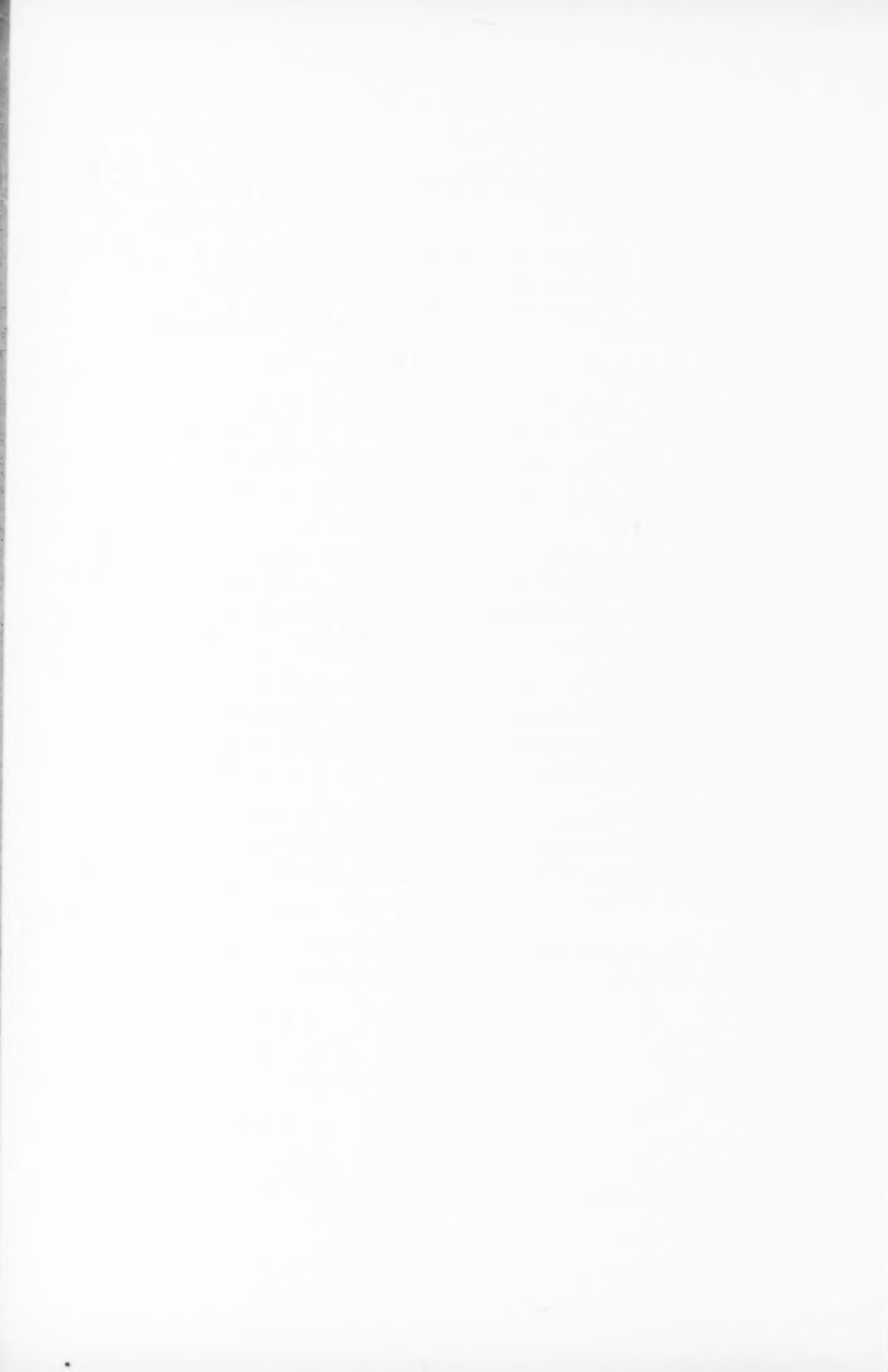
U.S. Claims Court Judgment in <i>Hercules v. United</i> <i>States</i> (4/2/92)	81a
---	-----

TABLE OF CONTENTS—Continued

Appendix D:	Page
U.S. Claims Court Opinion in <i>Thompson v. United States</i> (4/22/92)	82a-115a
Appendix E:	
U.S. Claims Court Judgment in <i>Thompson v. United States</i> (4/22/92)	116a
Appendix F:	
Federal Circuit Order in <i>Hercules v. United States</i> denying Petition for Rehearing (7/7/94)	117a-118a
Appendix G:	
Federal Circuit Order in <i>Thompson v. United States</i> denying Petition for Rehearing (7/7/94)	119a-120a
Appendix H:	
Federal Circuit Judgment on consolidated appeal of <i>Hercules v. United States</i> and <i>Thompson v. United States</i> (5/4/94)	121a
The following documents do not appear in this Joint Appendix but were reproduced in the Joint Appendix to the Federal Circuit Appeal:	
Joint Appendix 8:	
Plaintiffs first set of interrogatories in <i>Hercules v. United States</i> (1/11/91)	0153-0224
Joint Appendix 9:	
Plaintiffs first set of request for production of documents in <i>Hercules v. United States</i> (2/20/91) ..	0225-0239
Joint Appendix 11:	
Exhibits to the United States' Motion to Dismiss or in the alternative for Summary Judgment in <i>Hercules v. United States</i>	0241-0417

TABLE OF CONTENTS—Continued

Joint Appendix 12:	Page
Exhibits submitted by Hercules in opposition to the United States' Motion to Dismiss or in the alternative for Summary Judgment in <i>Hercules v. United States</i>	0418-0542
Joint Appendix 13:	
Affidavit of John P. Frawley in support of plaintiff's opposition to defendant's motion to dismiss and for summary judgment in <i>Hercules v. United States</i>	0543-0562
Joint Appendix 14:	
Exhibits submitted by Thompson in opposition to the United States' Motion to Dismiss or in the alternative for Summary Judgment in <i>Thompson v. United States</i>	0573-0661
Joint Appendix 16:	
Exhibits to the United States' Motion to Dismiss or in the alternative for Summary Judgment in <i>Thompson v. United States</i>	0699-0764
Joint Appendix 17:	
Letter dated October 23, 1990 from John E. Daniel, Esq. to Michael Scadron, Esq. re: <i>Hercules v. United States</i>	0765-0766



UNITED STATES CLAIMS COURT

Case No. 90-391C

WM. T. THOMPSON COMPANY,
A Missouri Corporation

v.

THE UNITED STATES

RELEVANT DOCKET ENTRIES

Date	Proceedings
1990	
5/7	COMPLAINT
7/6	ANSWER by defendant
10/22	MOTION by plaintiff's for leave to file amended complaint filed by leave of the judge. [ALLOWED: 10/23/90]
10/23	AMENDED COMPLAINT by plaintiff's
11/20	MOTION by defendant's to dismiss or summary judgement (Rule 12 & 56) and appendix contained in 1 document filed by leave of the judge
11/20	PROPOSED FINDINGS by defendant's of uncontroverted fact filed by leave of the judge.
11/29	ORIGINAL DECLARATION by defendant's of Mr. Lindsay Moose
1991	
2/19	CROSS-MOTION by plaintiff's for summary judgement and opposition to motion to dismiss; statement of material fact not in controversy; statement of genuine issues and appendix filed by leave of the judge.

Date	Proceedings
1991	
3/25	STATEMENT by defendant's of genuine issue in opposition to cross-motion for summary judgement
3/25	REPLY MEMORANDUM by defendant's in support of motion to dismiss
4/25	REPLY by plaintiff's filed by leave of the judge 4/22/91
6/14	ORDER entered scheduling oral argument
7/25	SUPPLEMENTAL MEMORANDUM by plaintiff's re: recent developments in the law
7/25	SUPPLEMENTAL MEMORANDUM by defendant's
7/29	SUBMISSION by defendant's pursuant to court's request filed by leave of the judge
7/30	TRANSCRIPT of proceedings on July 25, 1991
8/16	SUBMISSION by plaintiff's pursuant to court's request
1992	
4/22	OPINION by judge
4/22	JUDGMENT entered that petition is dismissed
6/19	NOTICE of appeal by plaintiffs

UNITED STATES CLAIMS COURT

Case No. 90-496C

HERCULES INCORPORATED

v.

THE UNITED STATES

RELEVANT DOCKET ENTRIES

Date	Proceedings
1990	
6/8	COMPLAINT
9/9	ANSWER
8/13	ORDER for pretrial by judge
1991	
1/8	MOTION to dismiss by defendant's (Rule 12) or for summary judgment; and proposed findings of controverted fact filed
2/6	MOTION by defendant's for protective order [ALLOWED: 6/14/91]
2/25	RESPONSE by plaintiff's to motion for protective order
3/5	REPLY by defendant's to response to motion for protective order
3/13	OPPOSITION by plaintiff's to defendants motion to dismiss and for summary judgment, with appendix, filed by leave of the judge

Date	Proceedings
1991	
3/13	AFFIDAVITS of John P. Frawley and John E. Daniel filed by leave of the judge
3/13	STATEMENT by plaintiff's of genuine issues filed by leave of the judge
4/8	REPLY BRIEF by defendant's
6/14	ORDER entered allowing the 2/6/91 motion for protective order granting discovery
1992	
3/18	TRANSCRIPT of proceedings on March 12, 1992
4/2	OPINION by judge
4/2	JUDGMENT entered that the complaint is dismissed
5/26	NOTICE of appeal by plaintiffs

IN THE UNITED STATES CLAIMS COURT

No. 90-496

HERCULES INCORPORATED,

v.

Plaintiff,

UNITED STATES OF AMERICA,

Defendant.

COMPLAINT

Plaintiff Hercules Incorporated, for its complaint against defendant the United States of America, alleges upon knowledge with respect to its own acts and upon information and belief as to all other matters as follows:

NATURE OF THE CLAIMS

1. Hercules Incorporated ("Hercules") seeks contractual indemnification against defendant United States of America ("USA") for damages arising from contracts between defendant and Hercules. Hercules seeks to recover from the USA increased expenses of performance and damages Hercules has sustained and costs, including attorneys fees, it has incurred in defending and settling cases (the "Agent Orange cases") brought by certain plaintiffs in connection with claimed exposure to phenoxy herbicides, including Agent Orange (collectively referred to hereinafter as "Agent Orange"), in Southeast Asia or in connection with the conflict in Southeast Asia (collectively referred to hereinafter as "Southeast Asia").

JURISDICTION

2. Jurisdiction of the Court is invoked pursuant to the Tucker Act, 28 U.S.C. § 1491 (1970), as amended.

PARTIES

3. Hercules is a corporation organized under the laws of the State of Delaware and has its principal place of business in Delaware. Hercules is the sole owner of the claims asserted herein and is entitled to recover the amounts claimed from the defendant.

4. The USA is a sovereign state which has consented to be used under the Tucker Act.

GENERAL FACTUAL ALLEGATIONS

A. The USA's Formulation of Phenoxy Herbicides and Development of An Agent Orange Specification

5. As early as World War II, the USA undertook defoliant research with phenoxy herbicides, including 2,4,5-trichlorophenoxyacetic acid ("2,4,5-T") and 2,4-dichlorophenoxyacetic acid ("2,4-D").

6. After World War II, both 2,4-D and 2,4,5-T were introduced for commercial use as herbicides. Hercules began to produce such products commercially in 1961 after it purchased Reasor-Hill, a herbicide manufacturer.

7. During the early 1960's, the USA also conducted experiments with many herbicides, including 2,4,5-T and 2,4-D, to formulate herbicides specifically for military use in Southeast Asia. Hercules did not participate in this or the earlier experimentation or formulation.

8. Based on its experimentation, the USA developed the Agent Orange formulation for military use in Southeast Asia. Agent Orange, as formulated by the USA, consisted of a mixture of fifty percent 2,4-D and fifty percent 2,4,5-T butyl esters.

B. Hercules' Commercial Sale of Phenoxy Herbicides With Federally Sanctioned Warnings and Instructions for Use

9. The 2,4-D and 2,4,5-T products sold commercially by Hercules in the 1960's carried an identification of their active ingredients as well as instructions for use which called for heavy dilution of the product. For example, the instructions for use of Hercules' Butyl Ester B-2D-2T herbicide, which contained approximately equal amounts of 2,4-D and 2,4,5-T, called for application using one gallon of the herbicide mixed with 99 gallons of water.

10. Hercules' herbicides also contained extensive warnings, which alerted the user, among other things, as follows:

(a) "Minute quantities may cause severe injury by drift or vaporization. Avoid drift of spray and use a coarse spray which is less likely to drift."

(b) "DO NOT contaminate any body of water by direct application, cleaning of equipment, or disposal of wastes and containers. Toxic to fish."

(c) "DO NOT graze dairy animals on treated areas within six weeks after application."

(d) "DO NOT use around the home, recreation areas, or similar sites."

(e) "DO NOT contaminate feed or foodstuffs."

(f) "DO NOT use spray equipment contaminated with this product for any other purpose."

(g) "DO NOT reuse empty containers. Destroy by burying in a safe place away from water supplies."

(h) "CAUTION—This product may cause skin irritation. Avoid inhaling spray mist. Harmful if swallowed. Avoid contact with the eyes, skin, or clothing. Flush eyes with clear water and get prompt medical attention."

11. The warnings and instructions for use provided on Hercules' herbicide products were supplied in compliance with federal regulation, including the version of the Federal Insecticide, Fungicide and Rodenticide Act ("FIFRA") in effect at that time. Pursuant to FIFRA, Hercules' phenoxy herbicide products had been registered with the U.S. Department of Agriculture ("USDA") and the warnings and instructions for use provided on such products had been cleared through the USDA.

12. Hercules sold 2,4,-D products commercially for the removal of broad leaf weeds, such as dandelions. Hercules sold 2,4,5-T products to remove woody plants, such as chickweed and poison ivy. Hercules also sold herbicidal products which contained a mixture of 2,4-D and 2,4,5-T.

13. Hercules sold most of its 2,4-D and 2,4,5-T products at virtually pure concentrations to commercial applicators who, in accordance with Hercules' instructions for use, substantially diluted the herbicides. Hercules sold a smaller amount of 2,4-D and 2,4,5-T products directly to the public with warnings and instructions substantially to dilute the concentrations for proper use.

14. Hercules also sold versions of the same commercial 2,4-D and 2,4,5-T products to the U.S.A. for peacetime use. These commercial herbicide products, like those sold to the private sector, carried identification of active ingredients, warnings and instructions for use.

15. The intended and actual commercial use of the 2,4-D and 2,4,5-T products made and commercially sold by Hercules was thus at very low concentrations and rates of application and for standard selective weed removal purposes.

C. The USA's Contracts With Hercules

16. Beginning in May 1964, the USA contracted with Hercules to purchase Agent Orange for use by the USA in Southeast Asia. These written contracts included the

following contracts entered into on or about the dates indicated:

1. DSA-6-6737, May 8, 1964;
2. DSA-6-6791, July 9, 1964;
3. AF(08)635-4636, August 7, 1964;
4. DSA-6-8731, December 17, 1964;
5. DSA-4-062806-PC409, July 19, 1965;
6. DSA-4-OA3409-PC409, March 21, 1966;
7. DSA-4-OB1282-PC409, April 21, 1966;
8. DSA-4-OB6156-PC409, May 5, 1966;
9. AF-08-635-5906, May 20, 1966;
10. DSA-400-66-C-0979-PC409, June 20, 1966;
11. DSA-400-67-C-1633-PC409, September 1, 1966;
12. DSA-400-67-C-8314, April 25, 1967;
13. DSA-400-68-C-4707, March 1, 1968;
14. DSA-400-68-M-BC65, April 4, 1968;
15. DSA-400-68-C-6093, May 20, 1968;
17. The USA's contracts with Hercules for Agent Orange promulgated specifications for Agent Orange. Hercules was required to comply, and did comply, with these specifications in producing the Agent Orange it sold to the USA.
18. The specifications for Agent Orange promulgated by the USA, *inter alia*, (a) did not provide any limitation on the amount of by-products that could be contained in Agent Orange and (b) did not provide for, and precluded the provision of, identification of active ingredients, warnings and instructions for safe use concerning Agent Orange.
19. The Agent Orange which Hercules supplied to the USA was manufactured and supplied under the man-

date of the USA pursuant to the Defense Production Act of 1950, as amended, 50 U.S.C.A. App. §§ 2061 et seq.

20. As a result of the foregoing specifications and requirements, the Agent Orange supplied by Hercules to the USA was packaged by Hercules in containers which contained no identification of active ingredients, no warnings and no instructions concerning use. At the same time, Hercules was placing warnings, instructions for use and identification of active ingredients on 2,4-D and 2,4,5-T products which Hercules was selling commercially, both to the private sector and the USA, for peacetime use as a herbicide.

D. The USA's Unprecedented Military Use of Agent Orange in Southeast Asia and the Potential Health Risks Attendant With Such Use

21. The Agent Orange provided by Hercules to the USA was used by the USA and those acting in concert with it in the conflict in Southeast Asia that was going on at the time.

22. At the time the USA developed its specifications for Agent Orange and purchased Agent Orange from Hercules made pursuant to those specifications, the USA knew or had reason to know that the Agent Orange posed possible health hazards if utilized in the unprecedented ways it was to be used, and was used, in Southeast Asia.

23. The USA was aware, or had reason to be aware, that its intended and actual use of Agent Orange in Southeast Asia involved an unprecedented use in unprecedented quantities, concentrations and rates of application. This wartime use, which was entirely different from the previous and contemporaneous peacetime commercial use of 2,4-D and 2,4,5-T, included use in battlefield situations in undiluted form and at overkill rates, wholesale dumping to escape enemy fire and application of Agent

Orange to areas well beyond those intended to be sprayed. Even the containers in which Agent Orange was packaged were misused; empty containers were used as shower stalls, barbecues and water storage receptacles.

24. In connection with the above unprecedented military use of Agent Orange by the USA in Southeast Asia, the USA failed to provide identification of active ingredients as well as warnings and instructions adequate for use.

25. Even before the USA purchased Agent Orange from Hercules, the USA was aware that the unprecedented use of Agent Orange in Southeast Asia posed possible health hazards. For example, a report prepared in 1963 by the Institute for Defense Analysis for the Department of Defense concluded that phenoxy herbicides were safe when used commercially, but could be hazardous in military use because higher concentrations would be applied by less experienced personnel under the pressures that are inherent in battle field use.

26. The unprecedented intended and actual use of Agent Orange by the USA in Southeast Asia as a military agent, rather than as the agricultural agent commercially marketed by Hercules, and the potential safety hazards attendant with such unprecedented military use, were not known or reasonably foreseeable to Hercules.

E. Hercules' Voluntary Removal of Dioxin From Its Agent Orange

27. In February 1965, Hercules' representatives were invited to attend a session with other herbicide manufacturers. At that session, held in March 1965, Hercules' representatives were advised for the first time that dioxin was a by-product of 2,4,5-T production and that dioxin could be highly toxic.

28. Hercules immediately thereafter embarked upon a program to reduce the level of dioxin contained in its

Agent Orange and 2,4,5-T products. Toward that end, Hercules implemented a toluene extraction process which enabled Hercules virtually to eliminate the dioxin in its products. Beginning in or about January 1966, the level of dioxin contained in Agent Orange sold by Hercules to the USA was reduced to the point of being undetectable.

29. At the time the USA developed its specification for Agent Orange and during the time the USA purchased Agent Orange from Hercules, the USA knew that dioxin was a by-product of 2,4,5-T production.

30. In using Agent Orange in Southeast Asia, the USA mixed the Agent Orange supplied by Hercules with that supplied by other manufacturers.

F. The USA's Cessation of Use of Agent Orange

31. In 1969 the USA ended its use of Agent Orange in Southeast Asia and its purchase of Agent Orange from Hercules. This cessation of use followed public disclosure of the findings in the Bionetics Report sponsored by the National Institute of Health concerning possible teratogenic effects related to 2,4,5-T.

G. The Agent Orange Cases

32. Beginning in 1979, lawsuits were commenced against Hercules and other manufacturers of Agent Orange. These lawsuits were consolidated in the United States District Court for the Eastern District of New York (the "Agent Orange Litigation").

33. The individual plaintiffs in the Agent Orange Litigation were (1) individuals who were or had been members of the U.S. military and allied military, or employees of civilian agencies, who had been exposed, by reason of the USA's actions, to Agent Orange in Southeast Asia, or (2) the spouses or children, born and unborn, of individuals who had been exposed to Agent Orange. The plaintiffs alleged, among other things, that

the defendants negligently had manufactured and sold Agent Orange and that the USA negligently had used Agent Orange. They also asserted claims based on theories of strict liability, breach of warranty and intentional tort and nuisance.

H. The USA's Extensive Involvement In the Agent Orange Litigation

34. The USA initially was named as a defendant in the Agent Orange Litigation. Thereafter, the USA was named as a third party defendant by Hercules and by other defendants in the Agent Orange Litigation.

35. The USA participated extensively and fully in the Agent Orange Litigation, including in the discovery stage of the Litigation.

I. The Settlement of the Agent Orange Litigation and Consequent Damage to Hercules

36. Notwithstanding Hercules' denial of responsibility for personal injuries allegedly caused by exposure to Agent Orange, and because of the expensive, uncertain and time-consuming nature of litigation and the potential liability alleged, Hercules settled the Agent Orange Litigation. The USA failed and refused to participate in or contribute in any way toward the settlement. In October 1984, pursuant to a settlement agreement, Hercules caused \$18,772,568 to be paid into a special settlement fund for distribution to various plaintiffs in the Agent Orange litigation.

37. The cost to Hercules of the Agent Orange Litigation was not limited to the settlement amount paid to the plaintiffs. In addition, Hercules incurred substantial costs, including legal expenses, in connection with and as a result of the Agent Orange Litigation. To date, these expenses exceed \$6 million.

J. Other Related Lawsuits

38. Some plaintiffs in the Agent Orange Litigation did not agree to the settlement and instead proceeded against Hercules and others. Other Agent Orange cases have also been brought against Hercules. By reason of these actions, some of which have been concluded, Hercules has incurred, and can be expected to incur, additional damages, costs and expenses, including attorneys fees.

39. Hercules may incur additional damages as the result of pending and anticipated Agent Orange cases and Hercules will supplement this complaint, if necessary or appropriate, to assert these additional damages and grounds for relief.

40. No action is now pending on Hercules' claim in Congress, in any department of the defendant or in any judicial proceeding other than as set forth herein.

FIRST CLAIM FOR RELIEF

(Breach of Warranty of Adequate Specifications and Requirements)

41. Hercules repeats and realleges each and every allegation set forth in paragraphs 1 through 40 as if set forth at length herein.

42. The USA promulgated and enforced mandatory contract specifications and requirements for Agent Orange, including packaging and labelling specifications and requirements which failed to provide for, and precluded the provision of, identification of active ingredients, warnings and instructions for safe use on the Agent Orange sold to the USA. Defendant warranted the adequacy and suitability of said specifications and requirements for defendant's intended and actual military use, including that Agent Orange could be sold by Hercules for safe use in Southeast Asia without the need for appropriate identification of active ingredients, warnings and instructions for safe use.

43. Defendant breached this contractual warranty to Hercules by failing to establish specifications and requirements for Agent Orange sufficient to make Agent Orange adequate and suitable for the unprecedented intended and actual military use to which it was put in Southeast Asia, including by failing to establish packaging and labelling specifications and requirements which would have permitted Hercules to set forth in the packaging and/or labelling of its Agent Orange sold to the USA an identification of active ingredients, warnings and instructions sufficient to make Agent Orange adequate, suitable and safe for its unprecedented military use in Southeast Asia.

44. By breaching its warranty to Hercules, defendant caused Hercules to sustain increased expenses of performance and incur substantial monetary damages in connection with the Agent Orange Litigation and other Agent Orange cases in which claimants have alleged personal injury from exposure to Agent Orange made, packaged and sold by Hercules and others pursuant to defendant's specifications and requirements. Hercules has expended considerable sums in defending and settling such cases and is entitled to contractual indemnification from defendant therefor.

SECOND CLAIM FOR RELIEF

(Breach of Duty to Disclose Knowledge of
Unprecedented Military Use and Potential
Health Risks Attendant With Such Use)

45. Hercules repeats and realleges each and every allegation set forth in paragraphs 1 through 40 as if set forth at length herein.

46. Defendant established mandatory contract specifications and requirements for Agent Orange manufactured for and sold to defendant, including packaging and labelling specifications and requirements which precluded Hercules from placing identification of active ingredients,

warnings and instructions for safe use on the Agent Orange manufactured for and sold to defendant.

47. At and prior to the time of contracting with Hercules for the manufacture, purchase and sale of Agent Orange, defendant had actual knowledge that Agent Orange, when used in Southeast Asia in the unprecedented military manner intended and actually used by the USA, and absent adequate identification of active ingredients, warnings and instructions for use, might endanger the health and safety of those exposed to Agent Orange.

48. At all relevant times, defendant had greater knowledge than Hercules concerning defendant's intended and actual unprecedented military use of Agent Orange in Southeast Asia and the possible health risks attendant with such use.

49. Defendant's actual and intended unprecedented military use of Agent Orange in Southeast Asia, and the possible health risks attendant therewith, were not known or reasonably foreseeable to Hercules. The USA knew or should have known that fact and that Hercules had no reason to obtain such knowledge.

50. Defendant had a contractual duty to reveal to Hercules its superior knowledge of the unprecedented military use of Agent Orange by the USA in Southeast Asia and the possible dangers attendant with such use. The USA's specification for Agent Orange misled or failed to put Hercules on notice concerning such unprecedented military use and possible dangers.

51. Defendant breached its contractual duty by withholding from Hercules defendant's superior knowledge concerning the unprecedented military use of Agent Orange by the USA in Southeast Asia, and the possible health risks attendant with such use, while at the same time inducing and mandating Hercules to enter into contracts for the manufacture and sale of Agent Orange.

52. By breaching its contractual duty to disclose its superior knowledge to Hercules, defendant caused Hercules to sustain increased expenses of performance and incur substantial monetary damages in connection with the Agent Orange cases, and Hercules was and is entitled to contractual indemnification therefor.

THIRD CLAIM FOR RELIEF

(Breach of Duty to Exercise Due Care in Using Hercules' Agent Orange)

53. Hercules repeats and realleges each and every allegation set forth in paragraphs 1 through 40 as if set forth at length herein.

54. The USA was aware that Agent Orange posed possible health risks if used militarily in the unprecedented manner it was used in Southeast Asia, including use without adequate precautions, safeguards, identification of active ingredients, warnings and instructions for safe use. Despite such knowledge, defendant did not use the Agent Orange it purchased from Hercules in Southeast Asia in a manner reasonably calculated to avoid such potential health risks and failed to take adequate precautions and safeguards or provide identification of active ingredients and adequate warnings and instructions concerning the proper use of and exposure to Agent Orange.

55. By reason of the foregoing, and by reason of defendant's preclusion in its Agent Orange specifications of identification of active ingredients, warnings or instructions for safe use, defendant had a contractual duty to Hercules to use Agent Orange in Southeast Asia in a manner designed to avoid potential health risks, including by taking adequate precautions and safeguards and providing identification of active ingredients and adequate warnings and instructions concerning the proper use of and exposure to Agent Orange.

56. Defendant breached its contractual duty to use Agent Orange in Southeast Asia in a manner designed to

avoid potential health risks, including by failing to take adequate precautions and safeguards or provide identification of active ingredients and adequate warnings and instructions concerning the proper use of and exposure to Agent Orange.

57. By breaching its contractual duty to exercise due care, defendant caused Hercules to sustain increased expenses of performance and incur substantial monetary damages in connection with the Agent Orange cases, and Hercules is entitled to contractual indemnification therefor.

FORTH CLAIM FOR RELIEF

(Breach of Duty of Good Faith and
Duty Not to Increase Contract Costs)

58. Hercules repeats and realleges each and every allegation set forth in paragraphs 1 through 40 as if set forth at length herein.

59. The USA was aware that Agent Orange posed possible health risks if used in the unprecedented military manner it was used in Southeast Asia, including use without adequate precautions, safeguards, identification of active ingredients, warnings and instructions for safe use. Despite such knowledge, defendant did not use Agent Orange in Southeast Asia in a manner reasonably calculated to avoid such potential health risks and failed to take adequate precautions and safeguards or provide identification of active ingredients and adequate warnings and instructions concerning the proper use of and exposure to Agent Orange.

60. By reason of the foregoing, and by reason of defendant's preclusion of any identification of contents, warnings and instructions for safe use, defendant had a contractual duty to Hercules to provide Hercules with the benefit of its bargain and not to subject Hercules to increased costs by virtue of third party actions against Hercules or otherwise. Defendant, as a result, had a

contractual duty to Hercules to use Agent Orange in Southeast Asia in a manner designed to avoid potential health risks, including by taking adequate precautions and safeguards and providing identification of active ingredients and adequate warnings and instructions concerning the proper use of and exposure to Agent Orange.

61. Defendant breached its contractual duty to exercise good faith and not increase Hercules costs by using Agent Orange in Southeast Asia in an unprecedented military manner that failed to avoid potential health risks, including by not taking adequate precautions and safeguards or providing identification of active ingredients and adequate warnings and instructions concerning the proper use of and exposure to Agent Orange.

62. By breaching its contractual duty to exercise good faith and not increase Hercules' costs, defendant caused Hercules to sustain increased expenses of performance and incur substantial monetary damages in connection with the Agent Orange cases, and Hercules is entitled to contractual indemnification therefor.

WHEREFORE, Hercules requests that this Court award judgment against the defendant as follows:

1. Award Hercules the full amount of all settlements paid by Hercules to claimants in the Agent Orange cases, in an amount not less than \$18,772,568.

2. Award Hercules all costs, including attorneys fees and disbursements, expended by Hercules in defending and settling the Agent Orange cases, in an amount not less than \$6 million.

3. Award Hercules all other expenses and costs incurred as a result of and in connection with the Agent Orange cases.

4. Award Hercules all other financial and consequential damages caused by defendant's breach of its contractual warranties and duties.

5. Award Hercules such other and further relief as the Court deems just and proper.

Dated: New York, New York
June 6, 1990

By: /s/ Nicholas L. Coch
NICHOLAS L. COCH
ANDERSON KILL OLICK &
OSHINSKY, P.C.
666 Third Avenue
New York, New York 10017
(212) 850-0700

Of Counsel:

JOHN E. DANIEL, Esq.
ANDERSON KILL OLICK & OSHINSKY, P.C.
666 Third Avenue
New York, New York 10017

JEROLD OSHINSKY, Esq.
NANCY A. MARKOWITZ, Esq.
ANDERSON KILL OLICK & OSHINSKY, P.C.
Suite 7500
2000 Pennsylvania Avenue, N.W.
Washington, D.C. 20006

IN THE UNITED STATES CLAIMS COURT

No. 90-391C

WM. T. THOMPSON COMPANY,
a Missouri Corporation,
318 Georgia Avenue,
Santa Monica, California 90402
Plaintiff,
v.

THE UNITED STATES OF AMERICA,
Defendant.

**AMENDED COMPLAINT FOR BREACH OF CONTRACT,
INDEMNIFICATION, MISREPRESENTATION,
AND UNCONSTITUTIONAL TAKING**

Plaintiff Wm. T. Thompson Company, by and through counsel, in support of its claims against the United States of America alleges as follows:

JURISDICTION

- 1) This complaint is brought pursuant to 28 U.S.C. § 1491.

PLAINTIFF

2) Plaintiff Wm. T. Thompson Company is a corporation duly organized under the laws of the State of Missouri with its principle place of business in Carson, California. On or about February 8, 1965, Thompson Chemicals Corporation, a California Corporation, as part of a re-organization of the company, merged into the William T. Thompson Company, duly organized under the laws of California on November 19, 1945.

3) On or about December 12, 1967, as part of a re-organization of the company, the William T. Thompson Company merged with the Thompson Land & Development Company, a Missouri corporation incorporated on

September 26, 1963, and the surviving entity, The Thompson Land Development Company, Inc., continued as a Missouri corporation.

4) Thompson Land and Development Company, Inc. changed its name to Wm. T. Thompson Company, on December 12, 1967.

5) On January 19, 1990, the Wm.T. Thompson Company transferred all of its assets to assignee David Blondner, Esquire. Wm. T. Thompson Company no longer conducts business. The assets are now owned and business conducted by D. K. Labs, Inc., duly organized under the laws of California, doing business as Thompson Nutritional Products.

BACKGROUND TO THE AGENT ORANGE PROCUREMENT

6) This claim arises out of the liability incurred by manufacturers of the defoliant known as Agent Orange for bodily injury claims from the exposure to Agent Orange by United States military personnel during the Vietnam War. In late 1961, President Kennedy approved a joint recommendation of the Departments of State and Defense to initiate defoliant operations in Vietnam. This program, which became known as Project Ranch Hand, got under way in January, 1962 with the commencement of spraying operations. As the war in Vietnam escalated, so did the intensity of the use of Agent Orange, with peak usage in 1967. The use of the herbicide was terminated by Executive Order of President Nixon in 1969.

7) Agent Orange is a mixture of two herbicides in a 50/50 blend: namely 2,4-Dichlorophenoxyacetic Acid (2,4-D) and 2,4,5-Trichlorophenol (2,4,5-T). The purposes of using Agent Orange was to defoliate the trees and plant life so as to destroy possible hiding places for Viet Cong and North Vietnamese troops and their supplies as well as their food crops. The product, a liquid

with a molasses like color, was dropped on the foliage from either helicopters or airplanes. Agent Orange contained, in varying degrees, 2,3,7,8 tetrachlorodibenzo-p-dioxin (TCDD, hereinafter "dioxin"), an unwanted by product which was alleged to be the causative agent of the Agent Orange litigants' injuries.

BACKGROUND TO THE THOMPSON CONTRACTS

8) Between the early 1950's and on or about the beginning of 1970, Thompson Chemicals Corporation (hereinafter "Thompson") had operated an agricultural chemical manufacturing plant in St. Louis, Missouri. On or about the beginning of 1970, Thompson ceased operations at this St. Louis plant.

9) On or about April 19, 1967, Thompson was required to enter into a fixed price production contract by the Directorate of Procurement and Production, Defense General Supply Center (hereinafter referred to, along with all other agencies of the United States Government, as the "Government"), No. DAS-400-67-C-8172 (hereinafter referred to as the "'8172 contract") under the Defense Production Act, 50 U.S.C. §§ 2051 et seq. The Government, under the '8712 Contract, required Thompson to produce, for a fixed, a specified quantity of a herbicide that has come to be known as Agent Orange. The '8712 Contract specified the formula for producing Agent Orange and Thompson strictly complied with these specifications, as well as complying with the terms of the '8712 Contract in all other material respects. Thompson had no input with the Government with respect to developing or modifying the specifications for Agent Orange.

10) The '8712 Contract was issued pursuant to the Defense Production Act. The Government, under the authority of the Act, compelled Thompson, on pain of criminal penalties, to undertake to produce Agent Orange and to give priority of performance to this contract, even at the expense of Thompson's other non-defense business.

11) On or about May 24, 1968, Thompson was required to enter into Contract No. DSA-400-68-C-6250 (hereinafter the "the '6250 Contract") by the Government under the Defense Production Act. The Government, under the '6250 Contract, compelled Thompson to produce, at a fixed price, a specified quantity of the herbicide known as "Agent Orange". The '6250 Contract specified the formula for producing Agent Orange and Thompson strictly complied with these specifications, as well as complying with the terms of the '6250 Contract in all other material respects. Thompson had no input with the Government with respect to developing or modifying the specifications for Agent Orange.

12) The '6250 Contract was issued pursuant to the Defense Production Act, 50 U.S.C. App. §§ 2051 et seq. The Government, under the authority of the Act, compelled Thompson, on pain of criminal penalties, to produce Agent Orange and to give priority of the performance of this contract over the performance of other contracts, even at the expense of Thompson's other non-defense business.

13) Judge George C. Pratt found that Thompson was an unwilling producer of Agent Orange who had informed the Government that it would not manufacture Agent Orange. After Thompson refused to respond to a number of requests for bids for Agent Orange Production, the Government ordered Thompson under the Act to enter into the contracts described in ¶¶ 9-12, *supra*. 565 F. Supp. 1263, 1272, 1275 (E. D. N.Y. 1983). No subsequent court proceeding has altered this finding.

14) Government inspectors surveyed the Thompson facility and informed Thompson of the output levels the Government would require. Thompson began manufacture of Agent Orange using a level of heat and pressure lower than the industry standard. The Government, in an effort to increase production, required Thompson accelerate production through an increase in heat and pressure.

15) It is well established that levels of dioxin contamination in 2, 4, 5 Trichlorophenol (a precursor to 2, 4, 5 T, a major component of Agent Orange) is proportional to the degree of heat and pressure, and that the Government's requirement that accelerated levels of heat and pressure be used to manufacture Agent Orange significantly increased the likelihood that Agent Orange would contain increased levels of dioxin.

16) The Government had knowledge superior to Thompson about the various manufacturing and hazardous disposal processes necessary to produce Agent Orange. The Government had knowledge superior to Thompson about the toxicities, environmental hazards, environmental fate, health risks, and intended use of Agent Orange. Thompson had no independent knowledge as to the manufacturing or disposal processes which would have reduced the toxicities, environmental hazards, environmental fate, or health risks of Agent Orange.

THE "AGENT ORANGE" LITIGATION

17) Starting in 1979, American veterans of the Vietnam War (or their estates) began filing negligence and strict liability actions against companies that produced Agent Orange for the Government (eventually Australian and New Zealand veterans joined in these actions). Thompson was named as a defendant in a majority of these cases. According to these plaintiffs, exposure to Agent Orange during the Vietnam War resulted in various cancers such as soft tissue sarcoma and afflictions such as chloracne, as well as miscarriages by veterans' wives and birth defects in their children. Although cases were originally filed in the Eastern District of New York, Southern District of New York and Northern District of Illinois, the actions were consolidated in the Eastern District of New York under the heading MDL No. 381.

18) Some 600 additional tag-along cases were subsequently consolidated under MDL No. 381, *In re Agent*

Orange Product Liability Litigation, 597 F. Supp. 740 (E. D. N.Y. 1984).

19) Thompson was granted summary judgment by Judge George C. Pratt on May 20, 1983 based upon the finding that not only did Thompson know less than the Government about the hazards of Agent Orange, there was no evidence that Thompson had any knowledge about any toxicity problems associated with Agent Orange. 565 F. Supp. 1263, 1272-73 (E. D. N.Y. 1983).

20) Hercules was also granted summary judgment by Judge Pratt on May 20, 1983. 565 F. Supp. 1263, 1273-74 (E. D. N.Y. 1983). The United States was dismissed from the litigation by Judge Pratt. 534 F. Supp. 1046 (E. D. N.Y. 1982).

21) On October 21, 1983, in a meeting with newly assigned Chief Judge Jack B. Weinstein, Thompson was informed that the May 20, 1983 grant of summary judgment was reversed, and that Thompson was again a defendant. On the same date, Hercules and the United States were also brought back in the suit as parties, in an effort by Judge Weinstein to press for settlement among the largest number of defendant's possible.

22) Thompson moved for reconsideration of Chief Judge Weinstein's reversal of summary judgment. Despite having successfully won summary judgment from Judge Pratt, an order denying summary judgment was issued by Chief Judge Weinstein on November 29, 1983, and Thompson was once again made a part of the litigation.

23) On or about 4:00 a.m., May 7, 1984, the date assigned for trial, the defendants and plaintiffs reached a settlement in which the defendants contributed to create a \$180 million settlement fund. The settlement agreement is set forth as an appendix to the fairness opinion. 597 F. Supp. 740 (E.D.N.Y. 1988). Thompson, who had manufactured less than two percent (2%) of the Agent Orange complained of, and who had a correspondingly negligible influence over the course of the settlement,

entered the settlement under duress. Thompson's contribution totaled \$3,096,597.22, and was made to this fund on June 22, 1984.

24) Thompson, as did each and every defendant in the case, denied liability in the final settlement agreement.

25) Approximately \$3 million dollars was spent in legal fees in defense of Thompson in the Agent Orange litigation, including the time of Thompson's corporate counsel in monitoring the defense. The efficiency of Thompson's operations were diminished by the time necessary to monitor the defense, respond to the information requests, and inability to obtain financing.

BACKGROUND AS TO FINANCIAL IMPACT ON THOMPSON

26) Thompson's potential liability as to outstanding Agent Orange claims and other unknown contingent liabilities stemming directly from the Government's order to produce Agent Orange, and Thompson's payment of \$3,096,597.22 in settlement fees, and approximately \$3 million in legal fees and costs to the company of litigation, has seriously hindered Thompson's abilities to meet its financial obligations, causing serious and irreparable injury to Thompson's business reputation and reputation for credit-worthiness to such extent that Thompson was no longer able to continue as a viable business entity.

27) Thompson's reputation was further damaged as publicity regarding Thompson's participation in Agent Orange litigation created a public image directly contrary to the image and reputation of Thompson as a promoter of healthy, non-toxic products and positive, non-polluting environmental practices.

28) Prior to the Agent Orange litigation and subsequent settlement, Thompson was a profitable company grossing approximately \$20 million in annual sales.

29) The financial cost to Thompson in settlement and legal fees created such a financial burden upon Thompson that Thompson was forced to dispose of all of its assets, including equipment, inventory, and its good will.

30) Thompson expended approximately \$328,000 in addition to legal fees and costs in an effort to manage the corporate damage brought about by its production of Agent Orange and the subsequent litigation. Thompson spent in excess of \$100,000 in order to dispose its assets.

31) Thompson had employed approximately 200 individuals, of whom 150 lost their jobs as a direct result of Thompson's financial difficulties and disposal of assets. The shareholders of Thompson lost their entire investment in Thompson, totaling between five and six million dollars, due to economic injury sustained by Thompson as a result of the manufacture of Agent Orange.

32) The manufacture of Agent Orange by Thompson was at all times performed at the St. Louis, Missouri facility. By-products of the manufacture of Agent Orange were disposed of at the Thompson Chemical/Superior Solvents site (hereinafter referred to as "Thompson site") at 60 Chouteau Avenue, St. Louis Missouri near the St. Louis facility.

33) The by-products disposed of were those resulting from Thompson's strict adherence to the terms of the '8712 and '6250 contracts. The Government had information superior to Thompson as to the toxicities, health risks, and environmental fate of these by-products.

34) Thompson faces potential liabilities as to the costs of clean-up of the Thompson Chemicals/Superior Solvents site or other potential claims as to damages resulting from such disposal as was required by the Government in order to perform the '8172 and '6250 contracts which the Government compelled Thompson to perform.

FIRST CLAIM FOR RELIEF

(Breach of Warranty)

35) Thompson repeats and re-alleges each and every allegation set forth in paragraphs 1 through 26 of this Complaint.

36) The Government promulgated, approved and established specifications for the manufacture of Agent Orange and ordered Thompson to produce Agent Orange in strict compliance with those specifications.

37) The Government impliedly warranted that if the Government's specifications were complied with, the product so produced would be free of all defects.

38) By virtue of the manufacture and delivery of Agent Orange by Thompson to the Government and the Government's breach of its warranty that compliance with Government specifications would result in the production of a product free from defects, Thompson suffered damages including, *inter alia*, serious diminution in the economic value of the business, including future claims deriving from Thompson's manufacture of Agent Orange, payments to claimants in the *Agent Orange* litigation, and defense fees and costs.

39) By reason of the foregoing, the United States is liable for all such damages sustained by Thompson.

SECOND CLAIM FOR RELIEF

(Breach of Contract to Indemnify)

40) Thompson repeats and re-alleges each and every allegation set forth in paragraphs 1 through 31 of this Complaint.

41) Thompson was ordered to produce Agent Orange pursuant to the Defense Production Act, 50 U.S.C. App. §§ 2051 et seq.

42) Pursuant to Section 2157 of that Act, the Government impliedly promised to indemnify Thompson for any liabilities incurred in performing under the Defense Production Act.

43) In performing the '8712 and '6250 Contracts, Thompson fully complied with the requirements of the Defense Production Act.

44) As a direct consequence of the Government's breach, Thompson suffered damages, including, *inter alia*, serious diminution in the economic value of the business, including future claims deriving from Thompson's manufacture of Agent Orange, payments to claimants in the *Agent Orange* litigation, and defense fees and costs.

45) By reason of the Act, the Government is liable to Thompson for all such damages sustained by Thompson.

THIRD CLAIM FOR RELIEF

(Misrepresentation)

46) Plaintiff Thompson repeats and re-alleges each and every allegation contained in paragraphs 1 through 37 of this Complaint.

47) Prior to issuing the Agent Orange specifications to Thompson contained in the Contracts, the Government had superior knowledge about the potential health risks caused by the manufacture, disposal, and application and other uses of Agent Orange.

48) The Government had a duty to disclose to Thompson its information about these health risks.

49) The Government breached its duty by its failure to disclose its information about these health risks to Thompson.

50) As a direct and proximate result of the Government's breach of its duty to disclose these material facts,

Thompson suffered damages, including *inter alia*, serious diminution in the economic value of the business, including future claims deriving from Thompson's manufacture of Agent Orange, payments to claimants in the *Agent Orange* litigation, and defense fees and costs.

51) By reason of the foregoing, the Government is liable to Thompson for all such damages sustained by Thompson.

FOURTH CLAIM FOR RELIEF

(Unconstitutional Taking)

52) Plaintiff Thompson repeats and re-alleges each and every allegation set forth in paragraphs 1 through 43 of this Complaint.

53) The mandatory requirement that Thompson produce Agent Orange and produce Agent Orange in compliance with the Defense Production Act of 1950, which compliance subsequently resulted in Thompson incurring liability to claimants in the *Agent Orange* litigation, together with the Government refusal to compensate Thompson, constitutes a taking of Thompson's property without due process. Accordingly, Thompson is entitled under the 5th Amendment of the Constitution of the United States to just compensation therefore.

RELIEF

WHEREFORE, Thompson demands judgment against defendant United States of America as follows:

1. Damages in the amount of \$3,096,597.22 for settlements paid to Agent Orange claimants;
2. Damages in the amount of \$3 million for attorneys fees, costs and expenses paid in defense of the Agent Orange litigation;
3. Damages for economic injuries caused by the order to produce Agent Orange, including but not lim-

ited to lost business, business reputation, serious diminution in the economic value of the business, and future claims based upon Thompson's manufacture of Agent Orange;

4. Attorneys fees and expenses incurred in this action;

5. Costs of this action;

6. Such other further relief as this Court may deem just and proper.

Dated: October 17, 1990

Respectfully submitted,

/s/ James S. Turner
 JAMES S. TURNER
 SWANKIN and TURNER
 1424 16th Street, N.W.
 Washington, D.C. 20036
 (202) 462-8800
 Attorney for
 WM. T. THOMPSON CO.

Of counsel:

BETSY E. LEHRFELD
 ALAN DUMOFF
 SWANKIN & TURNER

(Certificate of Service Omitted in Printing)

IN THE UNITED STATES CLAIMS COURT

No. 90-496C

(Filed: Jun. 14 1991)

HERCULES INCORPORATED

v.

THE UNITED STATES

ORDER

The defendant's motion, filed on February 6, 1991, for a protective order staying discovery pending a decision on its dispositive motion is allowed until 30 days after the decision on the dispositive motion is filed.

IT IS SO ORDERED.

/s/ Robert J. Yock
ROBERT J. YOCK
Judge

[Filed Under Seal]

UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

MDL No. 381 (JBW)

79-C-467	CV-80-2997	CV-81-991	CV-82-1142
79-C-747	CV-80-3256	CV-81-995	CV-82-1749
79-C-2752	CV-80-3336	CV-81-1199	CV-82-2004
79-C-2846	CV-80-3386	CV-81-2339	CV-83-1306
CV-80-0275	CV-81-512	CV-81-2721	CV-83-2022
CV-80-0613	CV-81-666	CV-82-3106	CV-83-4024
CV-80-0693	CV-81-1036	CV-82-0208	CV-83-4030
CV-80-0991	CV-81-559	CV-82-861	CV-84-1222
CV-80-1277	CV-81-1296	CV-82-1849	CV-84-1879
CV-80-1989	CV-81-2719	CV-82-1734	CV-84-1880
CV-80-2002	CV-81-511	CV-82-1852	
CV-80-2010	CV-81-522	CV-82-2493	
CV-80-2207	CV-81-665	CV-83-3122	
CV-80-2280	CV-81-1295	CV-82-0783	
CV-80-2284	CV-81-2349	CV-82-4033	
CV-80-2440	CV-81-2726	CV-82-775	
CV-80-2631	CV-81-519	CV-82-2179	
CV-80-2908	CV-81-662	CV-82-3619	

IN RE "AGENT ORANGE"

PRODUCT LIABILITY LITIGATION

**UNITED STATES' MEMORANDUM IN OPPOSITION TO
DEFENDANTS' MOTION FOR SUMMARY JUDGMENT
BASED ON THE GOVERNMENT CONTRACT DEFENSE**

I. INTRODUCTION

For over five years, the defendants have unabashedly promoted a compelling account of herbicide manufacturers "acting under compulsion of federal law in pa-

triotic furtherance of the Vietnam War effort," supplying a necessary, effective and unique military weapon that met, in every respect, the Government's detailed specifications and expectations. 506 F. Supp. 737, 795 (E.D. N.Y. 1980). Drawing upon such themes as "compulsion to manufacture", "a product invented by the government", "absence of defendants' negligence", absence of any defect in their product", "defendants' compliance with the terms of the contracts and the governments' specifications", and "parity of knowledge apropos any health hazards associated with the use of their product," defendants now declare that they are entitled to summary judgment because they have satisfied all elements of the government contract defense.

Judge Pratt's rulings provided a powerful incentive for defendants to identify only that evidence which might support their version of the relevant events—a complete defense to all claims asserted against them. 534 F. Supp. 1046, 1055 (E.D. N.Y. 1982). They have provided this one-sided story up until now without meeting significant opposition. Indeed, defendants have done all they could to prevent such opposition.

Only days before defendants' answers to the United States' first discovery requests in the history of this litigation were due, the defendants moved for and secured, *ex parte*, a stay of all discovery. As defendants were well aware, the information sought by this discovery directly related to the factual issues which lie at the heart of the government contract defense, and which have not yet been presented to this Court. They also knew that, had defendants honored their discovery obligations, they ran the risk of revealing facts which would significantly undercut their motion for summary judgment.

Thus believing themselves secure from the threat of a factual assault upon their singular version of the defoliation program, defendants wasted no time in moving this

Court for a declaration that there are no genuine issues of material fact relating to the government contract defense, and that they were entitled to summary judgment as a matter of law.

The United States contends that there exists substantial and convincing evidence that establishes not only that there are indeed genuine issues of material fact directly bearing upon the validity of each and every contention relating to the government contract defense, but also that the defense does not further the policies it purports to serve, particularly in light of the facts presented here.

Accordingly, defendants' motion for summary judgment should be denied, insofar as it is premised on the government contract defense.

II. THE POLICY CONSIDERATIONS UNDERLYING THE GOVERNMENT CONTRACT DEFENSE ARE INAPPLICABLE TO THE FACTS AT BAR

A. By Virtue Of Pre-Trial Order 91, The Rationale For The Application Of The Government Contract Defense No Longer Exists.

In 1980, the defendants moved for summary judgment based upon what has been termed the "government contract defense." They argued that liability may not be imposed upon them for injuries arising out of the United States' use of Agent Orange, because (1) they merely manufactured and supplied Agent Orange to the government pursuant to contracts; (2) Agent Orange was not manufactured before and has not been manufactured since; (3) they completed their compelled manufacture of Agent Orange in strict compliance with the specifications supplied by the government, specifications that contained no obvious defects which would have alerted them to any danger in following them; and (4) they manufactured Agent Orange without any negligence on their part. 506 F. Supp. 762, 795 (1980).

By Order and Memorandum of the Court dated December 29, 1980 the Court granted the United States' Motion to Dismiss the third-party complaints in accordance with the rules of *Feres v. United States*, 340 U.S. 135 (1950), and *Stencel Aero Engineering Corp. v. United States*, 431 U.S. 666 (1977). The Court also recognized that "a government contract defense exists and has possible application to the facts at bar." 506 F. Supp. at 796.

The Court observed that considerations of fairness and public policy underlie the government contract defense. First, the Court found that tort liability principles seek to impose liability on the wrongdoer who caused the injury, not "the otherwise innocent contractor whose only role * * * was the proper performance of a plan supplied by the government." 506 F. Supp. at 793. Second, the Court found that "the policy considerations that lend continued vitality to government immunity argue for 'extension' of that freedom from liability to some government contractors." 506 F. Supp. at 794.¹ Uppermost in the Court's mind was the second rationale: its concern that the Government be permitted to conduct its military affairs unhampered by judicial scrutiny:

¹ The United States takes strong exception to any theory of "shared" sovereign immunity. As the Supreme Court has held: "The government does not become the conduit of its immunity in suits against its agents or instrumentations merely because they do its work. * * * For more than a hundred years corporations have been used as agencies for doing work of the government. But this would not confer on such corporations legal immunity. . . ." *Keifer and Keifer v. R.F.C.*, 306 U.S. 381 (1938); *Sloan Shipyards v. U.S. Fleet Corp.*, 258 U.S. 549, 567 (1921). Furthermore, "the doctrine of sovereign immunity may not be extended to cover the fault of a private corporation, no matter how intimate its connection with the government." *Foster v. Day and Zimmerman, Inc.*, 302 F.2d 867 (8th Cir. 1974). See also *Witaker v. Harvell-Kilgore Corp.*, 418 F.2d 1010 (5th Cir. 1969) (government contractor not entitled to sovereign immunity).

The purpose of a government contract defense in the context of this case is to permit the government to wage war in whatever manner the government deems advisable, and to do so with the support of suppliers of military weapons. Considerations of cost, time of production, risks to participants, risks to third parties, and any other factors that might weigh on the decisions of whether, when, and how to use a particular weapon, *are uniquely questions for the military and should be exempt from review by civilian courts.* As indicated in the text, considerations of public policy require that a supplier of weapons to the government has two duties: (1) to comply with the specifications imposed by the government, and (2) to see that the government is apprised of any risks or hazards related to the weapon of which the supplier has knowledge. Given those two conditions, a supplier to the government under specifications established by the government, is exempt from liability. . .

534 F. Supp. at 1054 (emphasis added). The defense, it has been argued, was intended to reduce the risk to national security that might exist if either the contractors or the courts were put in the position of second-guessing the design and deployment of military equipment. *Johnston v. United States*, 568 F. Supp. 351, 357 (D. Kan. 1983); *McKay v. Rockwell International Corp.*, 704 F.2d 444, 449-450 (6th Cir. 1983). See also, *Brown v. Caterpillar Tractor Co.*, 696 F.2d 246 (3d Cir. 1982).

On February 16, 1984 the Court "tentatively" ruled that it was not inappropriate for a federal court to second-guess military decisions during time of war, concerning whether, when, and how to use particular war material in combat support, at least insofar as it concerned the so-called "independent" claims of wives and children. 580 F. Supp. 1242. Rejecting Judge Pratt's

analysis, this Court decided that the immunity afforded by the *Feres/Stencel* doctrines would not reach these "independent" claims. Assuming for the sake of argument the correctness of this Court's decision, at least two of the Court's original rationales for the government contract defense no longer exist: second-guessing of military decisions and avoiding the "unfairness" of having the "innocent contractor" bear the expense of the government's wartime decisions. Indeed, this Court appreciated the implications of its finding:

By arguing for both the application of the government contract defense and for the abolition of *Stencel*, the defendants have taken somewhat inconsistent positions: the government contract defense is premised, in large part, on the argument that it is unfair to hold defendants liable for acts that were done at the government's behest since the government itself is immune from liability. If defendants' argument to disregard *Stencel* is accepted, the government will not be immune and thus the rationale for the application of the government contract defense largely disappears. *McKay v. Rockwell International Corp.*, 704 F.2d 444, 449 (9th Cir. 1983), *cert. denied*, 104 S.Ct. 711, 79 L.Ed.2d 175 (1984).

580 F. Supp. at 1247.

The United States submits that defendants may reap the "benefits" of Pretrial Order 91 *only* at the expense of losing the government contract defense.

B. The Alleged Injury-Causing Aspect Of The Product Was Neither Mandated Nor Even Contemplated Under the Terms of the Contracts

As a matter of public policy and simple logic, if the government contract defense should ever apply at all, it should only apply where the contract mandated the injury-causing aspect of the product. *Johnston v. United States*, 568 F. Supp. at 356; *Brown v. Caterpillar Tractor*

Company, 696 F.2d at 252.² It is beyond dispute that the alleged injury-causing aspect of Agent Orange was the presence of "dioxin", the presence of which was exclusively determined by the defendants' manufacturing processes.

That being the case, clearly the government contract defense has no application to these facts. First, dioxin was neither sought, referenced or even anticipated in any contract between the United States and the defendants.

Second, at no time during the history of the United States' procurement of the herbicides did it impose a *process* specification on the manufacturers. In fact, the industry documents clearly reflect a concerted effort to maintain absolute secrecy concerning their proprietary process for producing 2,4,5-T, the only component of Agent Orange in which dioxin is implicated. Exhibit 1.

Third, while the same basic government purchase descriptions applied to all manufacturers, the manufacturing process varied substantially from manufacturer to manufacturer, as did the levels of dioxin in the products supplied to the government.

Fourth, at least two defendants sought summary judgment before Judge Pratt based upon the relatively low levels of dioxin in their product. 565 F. Supp. 1263

² For example, the United States Department of Commerce Task Force on Product Liability, under the chairmanship of Professor Victor E. Schwartz, has promulgated a Uniform Product Liability Law (reprinted at 44 Fed.Reg. 62714) (1979), which codifies the government contract defense at section 108:

(c) When the *injury-causing aspect* of the product was, at the time of manufacture, in compliance with a mandatory government contract specification relating to design, this shall be an absolute defense

(d) When the *injury-causing aspect* of the product was *not*, at the time of manufacture, in compliance with a mandatory government contract specification relating to design, the product shall be deemed defective. . . . (emphasis added).

(E.D. N.Y. 1983). Judge Pratt found that one of these defendants, Hercules, Inc. produced a produce that was "free of any detectable dioxin." *Id.* at 1276.

Fifth, the evidence developed thus far indicates that, while the techniques to reduce the levels of dioxin may have been available, defendants regarded the techniques as proprietary, and did not share the knowledge with their competitors. Thus, the defendants themselves have demonstrated not only that the alleged injury-causing aspect of the product was not mandated by the contracts, but also that the higher levels of dioxin were not necessary. Quite simply, the defendants were not compelled by the contracts to produce a product containing the defect at issue in this case. Thus, the fairness rationale of the government contract defense disappears. Protecting the "innocent contractor whose only role in causing the injury was the proper performance of a plan supplied by the government" is unwarranted under the circumstances.

C. The United States Did Not Compel Defendants To Manufacture Agent Orange

Since the beginning of this litigation, the defendants have alleged that the United States "compelled" the defendants to produce Agent Orange using, *inter alia*, the mandatory provisions of the Defense Production Act (50 U.S.C. App. 2061 *et seq.*). Judge Pratt observed that, underlying the government contract defense, are considerations of "fairness and public policy." 506 F. Supp. at 793.

Where, as here, manufacturers claim to have been compelled by federal law to produce a weapon of war without ability to negotiate specifications, contract price or terms, the potential for unfairly imposing liability becomes great.

506 F. Supp. at 794.

Judge Pratt did not establish "compulsion" as one of the triable issues relating to the government contract defense. Nevertheless, it is clear that the Court weighed heavily the defendants' heretofore uncontradicted representations in deciding whether to permit a government contract defense at all. 506 F. Supp. at 794-795. Unreflected in Judge Pratt's decision, however, was the fact that the element of compulsion never existed. Indeed, not only did the defendants voluntarily contract to produce Agent Orange, but some manufacturers also zealously promoted their capacity to produce herbicides for the United States, and vigorously competed for the opportunity to do so. Exhibit 2.

It is also difficult to comprehend defendants' contention of "compulsion", given that the product at issue was merely an adaptation or copy of a product which defendants were promoting and marketing in private commerce. Exhibit 3. Furthermore, as indicated above, since the defendants expressly considered the presence of dioxin in Agent Orange in connection with a manufacturing process which the United States did not specify and over which it had no control, the notion of compulsion makes no sense as applied to the alleged defect in the product. Finally, the defendants frequently urged changes in the formulation of Agent Orange concerning, for example, its purity and chemical composition. See Exhibits 4 and 5. This hardly indicates compulsion. In fact, the evidence which has long been available to the defendants and to the plaintiffs reveal that profit, and not compulsion or patriotism, caused defendants to contract to produce herbicides for use in Vietnam.

First, it is a matter of public record that the defendants produced Agent Orange *voluntarily* for years *before* the United States invoked the provisions of the Defense Production Act. In fact, the Act was only invoked for seventeen months. Exhibit 6. Second, the Act did not compel production of Agent Orange. Rather, it merely directed

defendants to accelerate and prioritize existing monthly production rates. *Id.* Third, at the time the Office of Industrial Mobilization of the Department of Commerce issued its directives to each of the producers of Agent Orange, the directive required the companies to notify the Business and Defense Services Administration if they were unable to accelerate production as directed. The Department of Commerce reports that its files do not reveal that any company which was directed to accelerate production appealed to that Department on the basis that the company did not produce the herbicide or could not increase production. *Id.* See also Exhibits 7 and 8.

As an example of the defendants' misdirection of the Court, The Dow Chemical Company has been one of the more outspoken manufacturers on the subject of compulsion. See, for example, Haines, *Agent Orange Liability of Federal Contractors*, 13 Toledo L. Rev. 1271, 1278 (1982) (Haines is an associate general counsel to The Dow Chemical Company). However, ample evidence demonstrates the eagerness with which Dow voluntarily associated itself with the herbicide program through contract. A sampling of the relevant evidence of which the Court should be aware lays bare the misconceptions which Dow has promoted over the years:

1. **EXHIBIT:** 9
- DATE:** April 30, 1963
- AUTHOR:** V.K. Rowe/Dow
- ADDRESSEE:** Dr. B.P. McNamara/U.S. Army
- SUBJECT:** Dow provides the name of satisfied customers who have been applying 2,4-D and 2,4,5-T in various forms for many years.

2. **EXHIBIT:** 10
DATE: February 5, 1965
AUTHOR: K. Hanson/Dow
ADDRESSEE: J.L. Spalding/Patent Department
SUBJECT: Dow actively bids for herbicide contracts with the military, and seeks "royalties due Dow Chemical" for Agent Purple (50% n-butyl ester or 2,4-D, 30% n-butyl ester of 2,4,5-T, 70% isobutyl ester of 2,4,5-T).
3. **EXHIBIT:** 11
DATE: September 9, 1966
AUTHOR: Dr. C.E. Minarik/U.S. Army
ADDRESSEE: Memorandum For Record
SUBJECT: Dow develops and proposes a new formulation of herbicide for use in Vietnam, and attempts to sell it to the military.
4. **EXHIBIT:** 12
DATE: September 15, 1966
AUTHOR: Dr. C.E. Minarik/U.S. Army
ADDRESSEE: Memorandum For Record
SUBJECT: Dow offers a replacement for Agent Orange and offers the Army 5000 gallons free for testing in Vietnam or Thailand. The offer was declined.

5. *EXHIBIT:* 13
DATE: October 7, 1966
AUTHOR: Dr. C.E. Minarik/U.S. Army
ADDRESSEE: Memorandum For Record
SUBJECT: Dow is said to be "pressuring" the military to accept their new formulation of Agent Orange for evaluation in Vietnam.
6. *EXHIBIT:* 14
DATE: August 11, 1966
AUTHOR: Dow
ADDRESSEE: Internal Memorandum
SUBJECT: Dow is ready, willing, and able to produce Agent Orange for the military. Dow says it would be "willing and happy" to deny the civilian market Tordon for 1967 "if it could get a firm commitment from the military soon".
7. *EXHIBIT:* 15
DATE: February 14, 1967
AUTHOR: C.E. Minarik/U.S. Army
ADDRESSEE: Memorandum For Record
SUBJECT: Dow urges military to acquire Tordon 101, a commercial product, for use in Vietnam.

- *8. **EXHIBIT:** 16
- DATE:** February 24, 1967
- AUTHOR:** A.P. Beutel, Vice President/Dow
- ADDRESSEE:** General J.A. Hebbeler/U.S. Army
- SUBJECT:** Dow urges against Army's consideration of a plan to convert the Phosphate Development Works, Alabama, to produce Agent Orange. Instead, Dow touts its own capabilities to produce Agent Orange, and argues that if the military would turn to Dow, *"the military's needs would be met for less capital outlay and, in addition, production would be realized at a much earlier date"*. Dow concludes that it *"is in an excellent position to move ahead with a substantial expansion of tetrachlorobenzene, trichlorophenol, and Orange."*
- *9. **EXHIBIT:** 2
- DATE:** March 29, 1967
- AUTHOR:** R.A. Hickman, Mgr. U.S. Government Marketing/Dow
- ADDRESSEE:** Wesley Koster/Department of Commerce.
- SUBJECT:** Dow notes that it has been actively engaged in the production of herbicides for twenty-five years. Of particular interest, the letter reveals that *"as early as the Korean War chemicals provided by the Dow Chemical Company were*

used in defoliation work." Dow states that it had been providing the military with Agent Orange since 1965, two years prior to the invocation of the Defense Production Act. Dow also reports that *"we have sent personnel to Vietnam; we have supplied thousands of dollars of research and development, time and effort; and we have, perhaps more than any other industrial company cooperated very closely with field personnel in Vietnam"* Finally, the company that would have this Court believe that it was compelled to produce herbicides for use in Vietnam, states: *"Dow can supply X gallons of Orange every three months. However, in order to meet this commitment, it will be necessary to have contracts awarded by the Government immediately."*

10. **EXHIBIT:** 17

DATE: August 18, 1967

AUTHOR: R.A. Hickman/Dow

ADDRESSEE: Internal Memorandum

SUBJECT: Dow was not compelled to produce Agent Orange; only to accelerate existing levels: *"We were given permission, in fact, we were requested, to accelerate the shipments of both Orange and and Tordon under our present contracts."*

11. *EXHIBIT:* 18
- DATE:* January 23, 1968
- AUTHOR:* George Collins/Defense Supply Agency
- ADDRESSEE:* Command Officer (SAAMA)
- SUBJECT:* Dow proposes changes in specifications for Agent Orange.
- *12. *EXHIBIT:* 19
- DATE:* July 17, 1968
- AUTHOR:* A.P. Beutel/Vice President, Dow
- ADDRESSEE:* General Hebbelor/U.S. Army
- SUBJECT:* Dow vigorously touts its "Super Orange" to the military: "The Dow Chemical Company presented to various governmental agencies the advantages of Super Orange as a better herbicide for use in Vietnam. * * * Included with the data was a proposal for 100,000 gallons or less of Super Orange to be supplied by Dow" Dow offers 8,000 gallons of Super Orange at *no cost* to the Government in order to expedite an experiment."

Of particular interest, to extend the applicability of this discussion beyond Dow, are the October 4, 1968 minutes of defendants' meeting on "Weldon Springs", the government's intended Agent Orange manufacturing plant. Representatives of Monsanto, Hercules, Thompson-

Hayward and Hooker attended the meeting. Thompson was not invited.³

These defendants feared that if the United States might elect to construct and place into operation an Agent Orange plant at Weldon Springs, there was a risk of "very substantial overproduction" if [the plant] is operated at full capacity", which might then be directed for domestic sale, thereby infringing upon or competing with their own domestic market. Accordingly, these defendants formed a task force, appointed a chairman, and conspired to defeat the project:

"At best we hope to prevent completion of the Weldon Springs plant or at least confine its production to only that amount of T or D needed by the Government, but unavailable from industry. . . . [t]here is sufficient domestic production of 2,4-D to fully meet both the civilian and military requirements, and that the production of 2,4,5-T would meet a substantial part of both the civilian and military need."

Exhibit 20.

Documents demonstrating defendants' freedom to influence the specifications for Agent Orange, including those for purity, volume, chemical composition, weight, acidity, appearance, *quality, inspection and testing proce-*

³ While counsel for Thompson Chemical Company have consistently characterized their client as a small-time and reluctant manufacturer, it is a matter of public record that Thompson voluntarily and successfully bid against four other manufacturers for the chance to produce Agent Orange at Weldon Springs. This is hardly indicative of compulsion.

It is also noteworthy that the Director of Product Sales at Monsanto, another company who claims compulsion, recently testified that Monsanto "wanted to sell as much as we could in response to the government request. * * * The government was a good customer." Deposition of William J. McCarville. Exhibit 21.

dures, and defendants' absolute discretion over the manufacturing process, are legion. Compulsion, quite simply, did not exist.

D. Agent Orange Was A Simple Adaptation Or Copy Of Products Already Sold Commercially

As discussed above, one of the rationales for the government contract defense is that it reduces the risk to national security that might exist if either contractors or the courts were put in the position of second-guessing the design of military equipment. Citing *Agent Orange*, the Ninth Circuit explained that:

In setting specifications for military equipment, the United States is required by the exigencies of our defense effort to push technology towards its limits and thereby to incur risks beyond those that would be acceptable for ordinary consumer goods. A supplier is frequently unable to negotiate with the United States to eliminate those risks.

McKay v. Rockwell, 704 F.2d at 450. *Agent Orange*, 506 F. Supp. at 794. But as the Court in *Johnston* observed:

When the product in question is a new and technically complex one used only by the military—such as the ejection seat in *McKay*—the rationale has some force, *but when the product is a simple adaptation or copy of one already sold in private commerce*
* * * *it does not.*

568 F. Supp. at 357 (emphasis added). See also *Plas v. Raymark Industries, Inc.*, No. C78-946 (N.D. Ohio, May 3, 1983) (the government contract defense is stricken because the asbestos materials sold to the government were the same as those sold generally to the private sector); *Chapin v. Johns-Manville*, No. S79-

0272N (S.D. Miss. January 1982) (The government contract defense not available where product is produced for general usage). Exhibits 22 and 23, respectively.

It is therefore hardly surprising that, from the outset of this litigation, defendants characterized Agent Orange as some unique military weapon. 506 F. Supp. 794. But Judge Pratt had been misled. Consider some of the defendants' recent pronouncements:

1. "The herbicides comprising Agent Orange have been effectively used in the United States without adverse health effects for more than 40 years." Hercules' Post Settlement News Release. Exhibit 24.
2. "During the period 1947 through 1963 more than three hundred million pounds of 2,4,-D and 2,4,5-T were produced and used to control vegetation on more than four hundred million acres of land in the United States." Memorandum of Defendant Hercules In Support Of Motion For Summary Judgment on The Government Contract Defense, dated April 20, 1983, at 11.
3. "2,4,-D and 2,4,5-T were used commercially for fifteen years without incident before their formulation into Agent Orange." Defendants' Fairness Brief.

There can be no serious dispute that the herbicides defendants sold to the government were essentially the identical herbicides which the defendants and others were marketing commercially. See Declaration of Dr. Alvin Young, Ph.D., Senior Policy Analyst for Life Sciences, Executive Office of the President. Exhibit 3. Indeed, not only did defendants market the component herbicides of Agent Orange, but they also marketed 50:50 mixes of the herbicides virtually identical to Agent Orange. The rationale of preventing unfair visitation of tort liability upon "innocent" manufacturers who were compelled to

produce an inherently unsafe product because of the exigencies of war, is simply inapplicable to the facts at bar. After all, who would know more concerning the properties of Agent Orange, than the manufacturers who developed and marketed its constituent products for public consumption? This is not a situation where the government thrust upon a manufacturer mandatory specifications for a product which would not have otherwise been produced.

Accordingly, the government contract defense should not be available to the defendants.

E. The Evidence Available Thus Far Is Sufficient To Support A Finding That The Manufacturers Of Agent Orange Were Negligent Or That The Product They Supplied To The United States Was Defective

It is generally recognized that, to invoke the government contract defense, a defendant must not have acted in a negligent manner. The defense does not shield suppliers of military equipment from liability for defects in the manufacture of the equipment.⁴ Thus, each defendant should be held liable if it negligently designed or manufactured the product it delivered to the government.⁵

Where (1) all of the defendants were called upon to produce an identical product; (2) the same performance

⁴ *McKay v. Rockwell International Corp.*, 704 F.2d at 451; *Whitaker v. Harvell Kilgore Corp.*, 418 F.2d 1010, 1018 (5th Cir. 1969); *Brown v. Caterpillar Tractor Co.*, 696 F.2d at 250; *Montgomery v. Goodyear Tire and Rubber Co.*, 231 F. Supp. 447, 451 (S.D. N.Y. 1964); *Foster v. Day and Zimmerman*, 502 F.2d 867, 874 (8th Cir. 1974); *Merritt Chapman and Scott Corp. v. Guy Atkinson Co.*, 295 F.2d 1416 (5th Cir. 1961).

⁵ Plaintiffs' actions against the defendants specifically allege negligent design, manufacture, and the failure to warn of latent defects.

requirements applied to all of the defendant-manufacturers; (3) the presence of dioxin was determined solely by the manufacturing process; (4) the terms of the contract made no provision for a particular manufacturing process or for the presence of dioxin; (5) the government exercised no control whatsoever over the manufacturing process; (6) the defendant-manufacturers exercised absolute discretion over the manufacturing process; (7) the defendants expressly considered the presence of dioxin in their product, and unilaterally determined the levels of the contaminant; (8) the terms of the contracts provided that inspection and quality assurance were the responsibility of the manufacturer; (9) the levels of dioxin varied substantially depending upon the manufacturer; and (10) the defendants demonstrated that the levels of dioxin in their product could have been reduced, there arises a presumption or inference sufficient to support a finding that the manufacturers were in fact negligent or that the product they supplied to the government was defective.⁶

Accordingly, the defendants should not enjoy the benefit of the government contract defense.

⁶ Pursuant to the terms of the express warranty provisions of the relevant contracts, the defendants agreed to supply chemicals that would be free from defects in design, materials or workmanship. Exhibits 25 and 26.

III. IMPOSING LIABILITY ON GOVERNMENT CONTRACTORS FOR DEFECTIVE OR NEGLIGENTLY PRODUCED PRODUCTS WOULD SERVE THE IMPORTANT POLICIES UNDERLYING NEGLIGENCE AND STRICT LIABILITY THEORIES AND WOULD NOT UNDERCUT MILITARY DECISION-MAKING OR COST-EFFICIENT GOVERNMENT PROCUREMENT

A. Liability For Government Manufacturers Promotes Safe Products, Pools The Risk Of Hazardous Products, And Relieves The Innocent Victims Of Heavy Unanticipated Burdens

Judge Pratt correctly observed that tort liability seeks to impose the burdens of the injury on the responsible party. 506 F. Supp. at 793. He also correctly noted that deterrence and safety are important underlying policies of tort law, and that these policies would not be served by imposing liability upon a government contractor who has no control whatsoever over the development, design, manufacture, and use of a product. *Id.* However, where a government contractor dominates the development of the product and the design of its specifications or has significant discretion in manufacturing the product—all which apply here—the policies in support of imposing tort liability, including strict liability, remain in full force.

When a manufacturer designs and develops a commercial product, it usually has the expertise to make the product either more or less safe. *Greenman v. Yuba Power Co.*, 27 Cal. Rptr. 697 (1962); *Wachtel v. Rosol Construction Co.*, 34 Conn. Supp. 204, 207 (1978). The herbicides sold to the government were marketed commercially *before* and *during* sale to the government. In producing a product that allegedly met government specifications, defendants enjoyed *absolute* discretion over the

manufacturing process. Defendants concede that it was the manufacturing process alone that caused the presence of dioxin in the product furnished to the government. Negligence and strict liability provide incentives to choose practices or policies which enhance safety. Applying the government contract defense, under the circumstances presented here, eliminates important deterrence to unsafe, indifferent, or even reckless conduct on the part of government contractors.

Another justification for imposing liability on manufacturers is that they can best pool the risk of harm resulting from their products. The social costs of the product will be spread among the producers and consumers of the product. *See, e.g., Greenman v. Yuba Power Products*, 27 Cal. Rptr. at 697. The manufacturers are in the best position to purchase liability insurance and they are free to adjust the price and profits of their product to reflect either the insurance or damage judgments resulting from the hazards of their product. Without liability, the costs of the hazards are borne solely by the victims of their conduct.

B. Imposing Liability On Government Contractors Will Not Interfere With Military Decision-Making Or The Government Procurement Process

Judge Pratt explained that the government contract defense is necessary to ensure that the government can easily obtain supplies and materials, and that national security might be comprised if a manufacturer or a court second-guessed military decision-making. 534 F. Supp. at 1054. However, government procurement and military decisionmaking would remain intact and unobstructed when the inquiry is focused upon the negligence of the supplier of commercial products, particularly when any inquiry into governmental liability should be foreclosed by sovereign immunity.

Imposing a duty to exercise reasonable care in the manufacture of a product or to warn of latent defects in products supplied to the government, will neither hinder the flow of supplies to the government nor interfere with the military's ability "to wage war in whatever manner the Government deems advisable." *Id.* This is hardly a situation in which a government specification commanded a particular manufacturing process or where the alleged injury-causing aspect of the product was mandated by contract. Contract compliance, quality assurance and inspections were the responsibility of the manufacturer under the express provisions of the herbicide contracts. The manufacturers' elimination of the dioxin in the product would not have involved "second-guessing" military decision-making, for there was no military decision for Agent Orange to contain dioxin.

As discussed above, the argument for a government contract defense is also weakened when a product is not manufactured exclusively for the military, but is, instead, commercially available and the government is just one of several consumers. *Chapin v. Johns-Manville Sales Corp.*, *supra*; *Plas v. Raymark Industries, Inc.*, *supra*.

C. The Government Contract Defense Cannot Be Justified As A Cost-Saving Measure

Some have argued that the government contract defense will increase the Government's cost of obtaining needed materials, but that is far from clear. The cost of liability insurance is often built into the bid submitted for a government contract. In fact government contracts often require the contractor to carry liability insurance. *See* Defense Acquisition Regulations (formerly Armed Services Procurement Regulations), 32 C.F.R. Section X, Parts 3-5. If insurance has already been acquired, then the government contract defense results in a windfall to the insurer at the expense of the plaintiffs.

The Supreme Court has recognized that government contractors set their bid prices to reflect the risk of pos-

sible liability. *Stencel Aero Engineering Corp. v. United States*, 431 U.S. at 666. In *Stencel Aero*, the Court noted that there was no unfairness to government contractors in prohibiting an indemnity suit against the United States because the contractor "no doubt had sufficient notice as to take his risk [liability] into account in negotiating its contract" *Id.* at 674.

There is no reason to assume that the costs of insuring against liability are uniform for all military equipment suppliers. Those with proven safety records may be able to secure liability insurance at much lower rates than less careful suppliers. Presumably, such cost savings enabled these manufacturers to make lower bids and be more competitive. It is by no means clear, therefore, that the government contract defense will make government procurements more cost-efficient or even more efficient generally.

IV. THERE ARE GENUINE ISSUES OF MATERIAL FACT BEARING ON THE VALIDITY OF EACH AND EVERY CONTENTION RELATING TO THE GOVERNMENT CONTRACT DEFENSE

Defendants declare that they are entitled to summary judgment because all of the elements of the government contract defense have been established. The principles of summary judgment practice in the Second Circuit are very well established. *Cereali v. Continental Grain Co.*, 563 F.2d 563, 565 (2d Cir. 1977); *Heyman v. Commerce and Industry Insurance Co.*, 524 F.2d 1317, 1319 (2d Cir. 1975):

[T]he "fundamental maxim" remains that on a motion for summary judgment the court cannot try issues of fact; it can only determine whether there are issues to be tried. Moreover, when the Court considers a motion for summary judgment, it must resolve all ambiguities and draw all reasonable inferences in favor of the party against whom sum-

mary judgment is sought, with the burden on the moving party to demonstrate the absence of any material factual issue genuinely in dispute. This rule is clearly appropriate, given the nature of summary judgment. This procedural weapon is a drastic device since its prophylactic function, when exercised, cuts off a party's right to present his case to the jury.

524 F.2d at 1319-1320 (citations omitted.)

A prerequisite to summary judgment is the absence of any genuine issues as to any material fact. *Bridgeport Brass Co. v. Bostwick Laboratories, Inc.*, 181 F.2d 315, 316 (2d Cir. 1950). Thus, "if liability is dependent upon any disputed questions of fact, the party opposing the motion has the right to have those questions determined upon a trial." *Id.* The Second Circuit has consistently held that summary judgment is a harsh remedy which should be exercised with care taken to give the parties an opportunity to develop the facts. *Shoenbaum v. Firstbrook*, 405 F.2d 215, 218 (2d Cir. 1968); *Judge v. City of Buffalo*, 524 F.2d 1321 (2d Cir. 1975). Trial by affidavits has consistently been condemned. *Poller v. Columbia Broadcasting Systems, Inc.*, 368 U.S. 465, 473 (1962). This is especially so where proof depends upon credibility. *Colby v. Klune*, 178 F.2d 872, 873-875 (2d Cir. 1949):

This case illustrates the danger of founding a judgment in favor of one party upon his own version of facts within his sole knowledge as set forth in affidavits prepared *ex parte*. Cross-examination of the party and a reasonable examination of his records by the other party frequently bring forth further facts which place a very different light upon the picture.

178 F.2d at 872 (citations omitted).

Virtually all the discovery conducted in this litigation concerning the government contract defense occurred

prior to this Court's February 16, 1984 ruling restoring the United States to party status. The United States has never had an opportunity to question any witness whose deposition defendants now offer in support of their summary judgment. Indeed, only days before moving for summary judgment, defendants moved *ex parte* for an order staying all discovery indefinitely. The Order issued, and the United States' first opportunity to look behind defendants' allegations was lost. Nevertheless, it is doubtful that there has ever been a case less amenable to summary judgment on the government contract defense than the one presently before this Court. This aspect of the case abounds in genuine issues of material fact bearing directly on the validity of each and every contention relating to the government contract defense. For this reason, summary judgment on the government contract defense must be denied.

Judge Pratt ruled that a defendant in this case will be entitled to judgment dismissing all claims against it based on that defendant's having supplied Agent Orange to the government pursuant to contract, if the defendant proves:

1. That the government established the specifications for Agent Orange;
2. That the Agent Orange manufactured by the defendant met the government's specifications in all material respects; and
3. That the government knew as much as or more than the defendant about the hazards to people that accompanied use of Agent Orange.⁷

⁷ Elaborating on the knowledge element, Judge Pratt stated that a defendant could not avail itself of the defense if it "was aware of hazards that might reasonably have affected the government's decision about the use of Agent Orange," *Id.* at 1058, "and failed to disclose them to the government, *Id.* at 105. Defendants incorrectly state, that this Court redefined this element in terms of whether "the government knew *roughly* what the defendants' knew." Defendants' Memorandum at 45.

While defendants have invested millions of dollars developing those facts which would tend to support the government contract defense, they have skillfully avoided the evidence which demonstrated the inapplicability of the defense, and the need for more discovery. Nevertheless, evidence exists that, contrary to defendants' assertions, they have not made out a single one of the elements of the government contractor defense.

A. Whether The Government Established The Specifications For Agent Orange Involves Genuine Issues Of Fact ⁸

Defendants contend that "plaintiffs have not seriously questioned that the government established the specifications for Agent Orange, and that the Agent Orange met the government's specifications in all material respects." Defendants' Memorandum at 49. While it is not at all clear why the plaintiffs would essentially concede two of the three elements of a complete defense to their action, suffice it to say, defendants have hardly established proof sufficient to support a summary judgment. In fact, inasmuch as the defendants cannot seriously deny that the presence and level of dioxin in Agent Orange was *unilaterally* determined by the individual manufacturers, the defense should not be available to the defendants. To permit the defense under the circumstances presented here, would subvert the policies underlying the defense. Nevertheless, assuming it is still relevant whether the limited states established the general specifications for the

⁸ Defendants will no doubt argue that the first two elements of the government contract defense have been established before Judge Pratt. First, the United States had been dismissed entirely from this lawsuit at the time defendants moved for summary judgment and, therefore, conducted no discovery and took no part in the summary judgment proceedings. Second, this Court has held that it will not be bound by Judge Pratt's findings concerning the government contract defense. Third, justice and fairness requires that this Court have the benefit of the best evidence available before proceeding with summary judgment.

two components of Agent Orange, the Court should consider the following evidence, which defendants chose not to present to the Court:

1. **EXHIBIT:** 27
DATE: April 1967
AUTHOR: Ernest R. Higgins/U.S. Army
ADDRESSEE: Commanding General/Army Munitions
SUBJECT: It is reported that "[a] variety of herbicides were procured off the shelf and shipped to VN." * * * "MILLIONS OF GALLONS OF THE HERBICIDE 'ORANGE' HAVE BEEN PROVIDED, ON AN UNCLASSIFIED BASIS, BY THE DEFENSE GENERAL SUPPLY AGENCY FOR THE U.S.A.F. THE SPECIFICATIONS USED IN THE PROCUREMENTS HAVE BEEN PROVIDED BY THE MANUFACTURERS OF THE PRODUCT AND CALL FOR A 50:50 MIX OF THE N-BUTYL ESTERS OF 2,4-D AND 2,4,5-T."

2. **EXHIBIT:** 4
DATE: October 25, 1967
AUTHOR: R. B. Scott/Hercules
ADDRESSEE: W. E. Vanderventer/Air Force
SUBJECT: Hercules supplies its proposed specifications for Agent Orange: "We believe these [specifications] are both practical and sufficiently rigid to be acceptable to industry and

to the government agency concerned."

3. *EXHIBIT:* 28
DATE: June 1, 1962
AUTHOR: Keith Barrons/Dow
ADDRESSEE: J. R. Frank/U.S. Army
SUBJECT: Dow supplies its specifications for 2,4-D and 2,4,5-T.

4. *EXHIBIT:* 5
DATE: January 30, 1968
AUTHOR: George Kampson/Monsanto
ADDRESSEE: Edward Bartlett/U.S.A.F.
SUBJECT: Monsanto's proposals concerning the specifications for Agent Orange.

5. *EXHIBIT:* 29
DATE: January 29, 1964
AUTHOR: U.S. Army Laboratories Proceedings of the First Defoliation Conference
ATTENDEES: Herbicide Manufacturers, including a number of defendants.
SUBJECT: Army turns to industry to supply a herbicide that will meet its military needs: "Ordinarily with military R & D we have a military concept that leads to the statement of a military requirement, technical characteristics, performance specifications, and other strictly delimited aspects. In this program, we do not have rigid speci-

fied characteristics. I have stated some of the broad requirements that a successful defoliating chemical should have, but with this general framework, we will accept and use materials that will do a job for us. In a few years, it may be that we will come up with more definite specifications, but at the moment, we simply solicit the assistance of you gentlemen in finding materials that can be used successfully with the reasonably broad and general guidelines. . . ."

6. *EXHIBIT:* 30
DATE: May 2, 1983
DEPOSITION: Cecil H. Russell/Monsanto
SUBJECT: Monsanto wrote the specifications for Agent Orange: Q. Did you create the specifications for Orange I? A. I wrote it, my version of it. Q. Well, when you say you wrote your version of it, was not your version the one that was then incorporated into MIL specs? A. They were the same."

Even without an opportunity to conduct any discovery, it is apparent to the United States that defendants have brought forth only a small fraction of the relevant evidence on this issue, and certainly only the evidence which supports their contentions.⁹ Evidence similar to that pro-

⁹ The defendants have been successful in focusing the plaintiffs and the Court's attention to the issue of whether the government established the specifications for "Agent Orange." The United States suggests that the *only* relevant component of Agent Orange, for the purpose of this litigation, is 2,4,5-T. It is only 2,4,5-T

vided in this memorandum abounds, and needs to be considered by this Court before considering summary judgment. Considerable additional evidence will be provided once discovery is permitted.

B. Whether The Agent Orange Manufactured By
The Defendants Met Government Specifications Involve Genuine Issues Of Fact

At the time the Court set forth this element of the government contract defense, it seems unlikely that the Court appreciated the complexity of this issue.⁹ There are over sixty known contracts for the manufacture of herbicides containing 2,4,5-T for use in Vietnam, involving at least seven manufacturers, spanning a decade. Despite of defendants' assertions of strict compliance with the specifications, there is evidence that government in fact rejected individual batches of Agent Orange. For example, 8,200 gallons of Dow's product failed to meet the required blend ratio. Exhibit 31. Hercules sold defective Agent Orange to the government in July and August of 1967. In September, 1967 Hercules shut down its Jacksonville, Arkansas plant due to its inability to produce "on-spec" Agent Orange. Exhibit 32. Moreover, by the express terms of the contracts, compliance with the specifications, quality assurance, and inspections were the sole responsibility of the defendants.

By a procedural maneuver, the defendants have attempted to obtain summary judgment, while insuring that the United States would not discover evidence on these very issues. Nevertheless, it is clear that there are indeed genuine issues of material fact concerning defendants' compliance with terms of various government contracts.

in which dioxin is implicated. There can be no dispute that defendants have dominated the production and marketing of 2,4,5-T commercially for at least a decade *before* they contracted to provide 2,4,5-T for use in Vietnam.

C. Whether A Defendant Was Aware Of Hazards That Might Reasonably Have Affected The Government's Decision About The Use Of Agent Orange And Failed To Disclose Them To The Government Involves Genuine Issues Of Fact

Once again, in formulating this element of the government contract defense, it is doubtful that the Court appreciated the potential factual complexity of the issue. In a context in which several defendants supplied herbicides at numerous times across an extended span of years, the evidence necessary for one or more defendants to establish the government contract defense might include the knowledge that one or another defendant had as compared to the knowledge the government had, at various points of time, concerning the alleged hazardous aspects of Agent Orange. The complexities of proof are exponentially compounded when the relative knowledge of the government and a particular defendant over a period of years is in turn linked to the varying time periods of exposure of multiple plaintiffs. In addition, with regard to the differing time periods concerning the exposure of each plaintiff, it appears that the specifications changed over time. Rather than attempting to address these difficult, though unavoidable, factual issues, defendants elected to pursue a deceptively simplistic course of seeking out obscure, isolated examples of "government knowledge" or the "government's opportunity to have obtained knowledge", in the hope of creating an overall impression of satisfying this element of the defense. In doing so, they failed to grasp the full, factual implications of the so-called "third" element of the defense and, consequently, have failed to establish the facts necessary to support the government contract defense.

Defendants also ask the Court to consider the fact that the United States has not had an opportunity to conduct discovery on this issue. The full measure of the

scope of the Government's relevant knowledge comes to the Court solely through the eyes of the manufacturers. Surely the United States must have an opportunity to be heard concerning the extent of its relevant knowledge. Still, the Court is invited to review information which the manufacturers chose *not* to share with the Government during the *relevant* time periods:

1. *EXHIBIT:* 33
DATE: May 4, 1965
AUTHOR: L.O. White/Dow
ADDRESSEE: Internal Memorandum
SUBJECT: Dow sets its own internal specifications for the level of dioxin in its 2,4,5-T.

2. *EXHIBIT:* 34
DATE: June 22, 1965
AUTHOR: Tiffany/Dow
ADDRESSEE: Confidential Internal Memorandum
SUBJECT: Dow establishes an analytic method for detecting 2,3,7,8-TCDD in 2,4,5-T by gas-liquid chromatography.

3. *EXHIBIT:* 35
DATE: June 24, 1965
AUTHOR: U.K. Rome/Dow
ADDRESSEE: Ross Mullholland/Dow
SUBJECT: Confidential letter concerning problems with chloracne: "As you well know, we had a serious situation in our operating plants because of contamination of 2,4,5-T with im-

purities, the most active of which is 2,3,7,8-TCDD. This material is exceptionally toxic. * * * If it is present in the trichlorophenol, it will be carried through into the T acid and hence into formulations which are to be sold to the public. One of the things which we want to avoid is the occurrence of any acne in consumers. I am particularly concerned here with persons who are using the material on a repeated basis *If this should occur, the whole 2,4,5-T industry will be hard hit and I would expect restrictive legislation, either barring the material or putting very rigid controls upon it.*

4. **EXHIBIT:** 36
DATE: June 16, 1966
AUTHOR: J.J. Ford/Analytical Div. Hercules
ADDRESSEE: E.E. Christofano/Medical Dept. Hercules.
SUBJECT: Internal Memorandum discussing the various levels of dioxin in its 2,4,5-T.

5. **EXHIBIT:** 37
DATE: August 26, 1965
AUTHOR: J.J. Ford/Hercules
ADDRESSEE: M.A. Taves/Hercules
SUBJECT: The analytical data obtained on the "dioxin" content of its 2,4,5-T.

6. *EXHIBIT:* 38
DATE: March 30, 1965
AUTHOR: A.F. Sidwell/Hercules
ADDRESSEE: J.P. Frawley/Hercules
SUBJECT: The formation of TCDD in its 2,4,5-T.
7. *EXHIBIT:* 39
DATE: June 10, 1965
AUTHOR: J.P. Frawley/Monsanto
ADDRESSEE: V.K. Rowe/Dow
SUBJECT: Discussion of techniques to identify dioxin in 2,4,5-T.
8. *EXHIBIT:* 40
DATE: February 3, 1967
AUTHOR: W.J. McCoy/Dow
ADDRESSEE: V.K. Rowe/Dow
SUBJECT: Discussion concerning competition between Dow and Thompson Chemical, and whether to honor Thompson's request for information concerning its "severe chlor-acne problems."
9. *EXHIBIT:* 1
DATE: March 19, 1965
AUTHOR: V.K. Rowe/Dow
ADDRESSEE: Several Herbicide Manufacturers Including Hercules
SUBJECT: Invitation to come to Dow "to discuss toxicological problems caused by the presence of certain highly toxic impurities in certain samples

of 2,4,5-T trichlorophenol and related material." * * * *"Our discussions will deal only with the toxicological and analytical aspects of the problem. We will not discuss manufacturing know-how, sales or anything else not dealing with the problem of health. It is our hope that through this meeting, we will acquire a better understanding of the problems and that each company will then proceed independently as it sees fit to institute such self-imposed controls on its production as are necessary to insure the safety of its products."*

10. **EXHIBIT:** 41
DATE: March 24, 1965
AUTHOR: E.L. Chandler/Diamond Shamrock
ADDRESSEE: Internal Memorandum
SUBJECT: Following the conference referenced above, Chandler concluded: ". . . The purpose of this meeting was obviously designed to help us solve this problem before outsiders confuse the issue and cause us no end of grief"

11. **EXHIBIT:** 42
DATE: July 9, 1965 (telephone call)
AUTHOR: J.P. Frawley/Hercules
ADDRESSEE: Memorandum on File
SUBJECT: Confidential notes of a telephone call concerning the acnegen problem with 2,4,5-T. "On July 9,

1965, Mr. Earl Farnham of Dow Chemical Company telephoned stating that he was calling at the request of Mr. Donald Balwin, Vice-President of Dow to inquire how serious I considered the chlor-acne problem in relation to the consumer use of 2,4,5-T. * * * [H]e stated that Dow had gone to great expense to alter their manufacturing conditions in order to produce 2,4,5-T acid which has less than 1 ppm acnegen. * * * *He then stated that Dow was extremely frightened that this situation might explode. They are aware that their competitors are marketing 2,4,5-T acid which contains alarming amounts of acnegen and if the government learns of this, the whole industry will suffer. They are particularly fearful of a congressional investigation and excessive restrictive legislation on manufacture of pesticides which might result. I advise Mr. Farnham that we shared his fear but are not aware of his allegation that the competitors' products were hazardous. He asked if Hercules had established an internal specification. I stated that he should discuss this with someone in our management*

This is but a fraction of the information which defendants chose *not* to share with their largest single herbicide customer during the relevant time periods—the United States Government. Whether such information

"might reasonably have affected the government's decisions" concerning whether and how to use Agent Orange surely involves genuine issues of fact. This last component of the defense is hardly amenable to summary judgment.

V. CONCLUSION

The government contractor defense should be rejected in this case because it would not further the policies it purports to serve. In addition, there are genuine issues of material fact exists which bears upon the validity of each contention relating to the defense.

Accordingly, defendants' motion for summary judgment on the government contractor defense should be denied.

Respectfully submitted,

RICHARD K. WILLARD
Acting Assistant Attorney General
Civil Division

RAYMOND J. DEARIE
United States Attorney

/s/ Irvin Haskin
IRVIN HASKIN
Trial Attorney
Torts Branch, Civil Division
U.S. Department of Justice
Post Office Box 888
Benjamin Franklin Station
Washington, D.C. 20044
Telephone: (202) 724-6744

Attorneys for the
UNITED STATES OF AMERICA

Dated: 8-31-84